

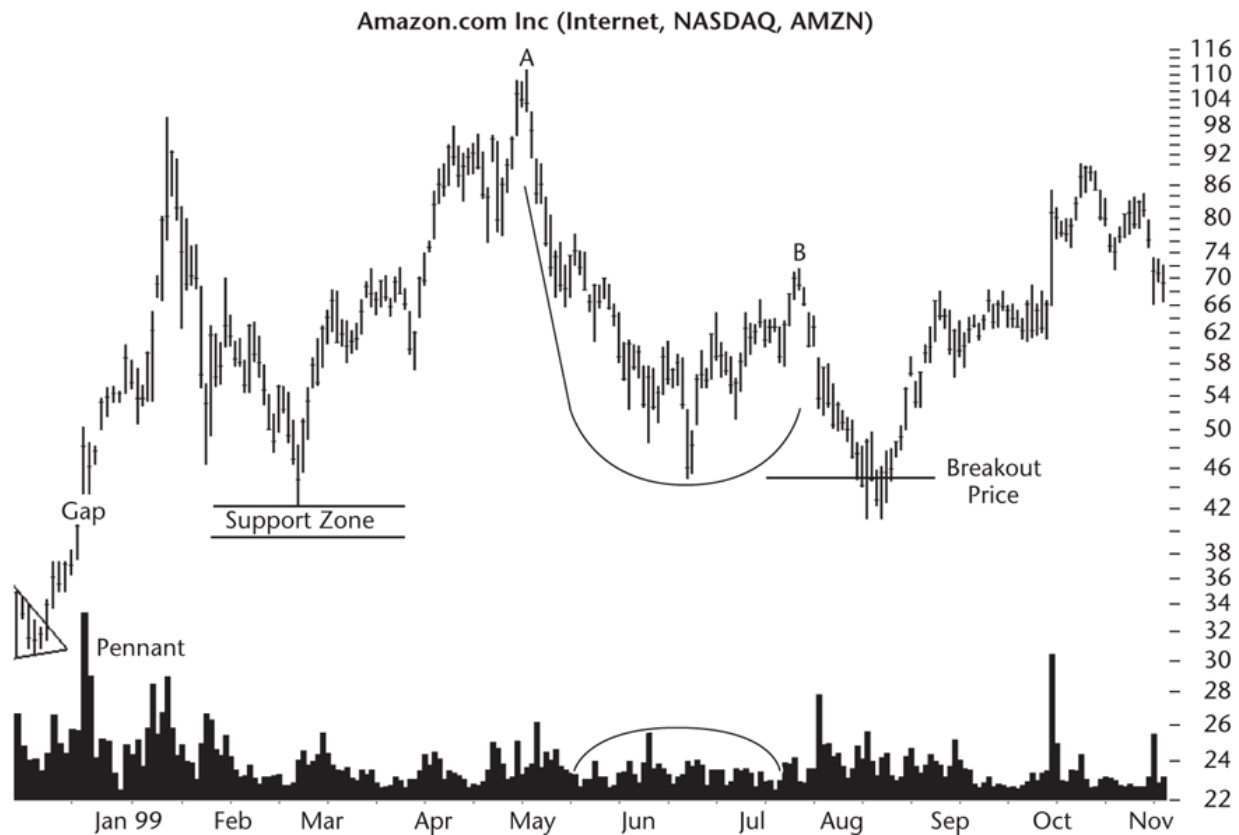


Figure 59.4 This scallop fails to descend far after a downward breakout. Notice the large price range.

If I were trading this stock and saw the downward breakout, I would believe that price would continue dropping. Perhaps the fundamentals explain the robust support that stopped the decline, but my records do not go back that far. Whatever the reason, proper use of stops would have saved a bundle when price climbed from a low of 41 in August to 113 in less than 5 months.

Statistics

Table 59.2 shows general statistics.

Number found. I found almost 3,000 scallops, but after removing downward breakouts in bear markets (which didn't meet the minimum number for this edition), I was left with the ones shown in the table. I trapped the first scallop in August 1991 and the most recent in December